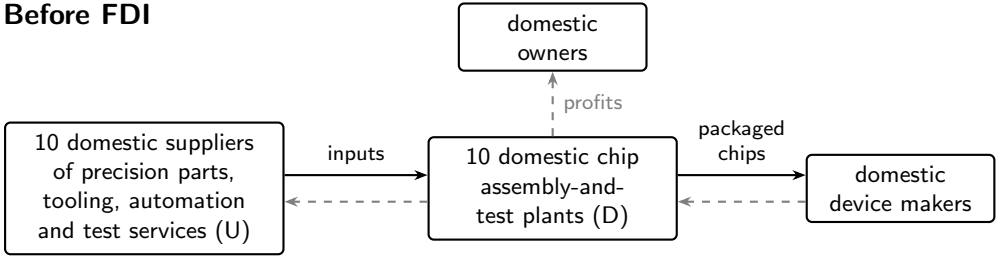
Before FDI



all inputs local ($\lambda = 1$)

backward linkage: demand for local inputs

After FDI

